M&G (Lux) Optimal Income Fund

EUR Class A – Accumulation shares

Fund Factsheet as at 31 August 2026

Marketing Communication

Fund description

The fund aims to provide a combination of capital growth and income to deliver a return based on exposure to optimal income streams in the global bond markets, while applying environmental, social and governance (ESG) criteria. It seeks to make these investments using an exclusionary approach, as described in the prospectus. Typically, at least 70% of the portfolio is invested in a broad range of fixed income securities of any credit quality and from any country, including emerging markets, and denominated in any currency. At least 80% of the fund is in euro or hedged into the euro. The fund managers select investments wherever they see the greatest opportunities, based on their assessment of a combination of macroeconomic, asset, sector and stock-level factors. The fund's recommended holding period is five years. In normal market conditions, the fund's expected average leverage – how much it can increase its investment position by borrowing money or using derivatives – is 200% of its net asset value.

The main risks associated with this fund

The value and income from the fund's assets will go down as well as up. This will cause the value of your investment to fall as well as rise. There is no guarantee that the fund will achieve its objective and you may get back less than you originally invested.

Investments in bonds are affected by interest rates, inflation and credit ratings. It is possible that bond issuers will not pay interest or return the capital. All of these events can reduce the value of bonds held by the fund.

High yield bonds usually carry greater risk that the bond issuers may not be able to pay interest or return the capital.

The fund may use derivatives to profit from an expected rise or fall in the value of an asset. Should the asset's value vary in an unexpected way, the fund will incur a loss. The fund's use of derivatives may be extensive and exceed the value of its assets (leverage). This has the effect of magnifying the size of losses and gains, resulting in greater fluctuations in the value of the fund.

Investing in emerging markets involves a greater risk of loss due to greater political, tax, economic, foreign exchange, liquidity and regulatory risks, among other factors. There may be difficulties in buying, selling, safekeeping or valuing investments in such countries.

The fund is exposed to different currencies. Derivatives are used to minimise, but may not always eliminate, the impact of movements in currency exchange rates.

Investing in this fund means acquiring units or shares in a fund, and not in a given underlying asset such as building or shares of a company, as these are only the underlying assets owned by the fund.

ESG information from third-party data providers may be incomplete, inaccurate or unavailable. There is a risk that the investment manager may incorrectly assess a security or issuer, resulting in the incorrect inclusion or exclusion of a security in the portfolio of the fund.

Further risk factors that apply to the fund can be found in the fund's Prospectus.

Duration by currency and asset class (years)

	Physical	Futures	Swaps	Net
Euro	2,3	0,3	-0,7	1,9
British pound	1,1	-0,4	0,0	0,6
US dollar	4,6	0,7	-0,9	4,5
Other	0,5	0,0	0,0	0,5
Total	8,6	0,6	-1,6	7,5

Key information

Fund manager(s)	Richard Woolnough, Stefan Isaacs, Ben Lord
Fund manager tenure from	20 April 2007
ISIN	LU1670724373
Launch date of fund	05 September 2018
Launch of share class	07 September 2018
Fund size (millions)	€ 7.340,09
Fund type	SICAV
Benchmark	Bloomberg Global Aggregate Index EUR Hedged
Sector	Morningstar Global Flexible Bond – EUR Hedged
Number of issuers	165
Average credit rating[1]	A+
Modified duration (years)	7,54
Yield to maturity	4,40%
Yield to worst	4,20%
SFDR Article Classification	8
Recommended Holding Period	5 years

[1]See important information section for explanation of average credit rating methodology.

The yield-to-maturity (YTM) figure shown here is calculated on a monthly basis. It shows the weighted average long term total yield of all the instruments held by the fund, assuming that all coupon payments are made – and reinvested at the same rate as the bond's current yield – and all principal payments are made. The figure is expressed as an annual rate.

The yield-to-worst (YTW) figure shown here is calculated on a monthly basis. This is a measure of the lowest potential weighted average yield of the instruments held in the fund. This metric can be used to evaluate the worst-case scenario for yield at the earliest allowable retirement date of the bonds held. This figure will be less than the YTM given the shortened investment horizon. The figure is expressed as an annual rate.

Charges

Maximum entry charge	4,00%
Management fees and other costs	1,34%
Transaction costs	0,22%

Risk profile

Lower — Higher

1	2	**3**	4	5	6	7

The summary risk indicator is a guide to the level of risk of this product compared to other products. It shows how likely it is that the product may lose money because of movements in the markets or because we are not able to pay you. We have classified this product as 3 out of 7, which is a medium-low risk class.

Fund ratings as at 31 August 2026

Morningstar Medalist Rating™

Silver

Analyst-Driven %

100

Data Coverage %

100

Source of Morningstar Medalist Rating: Morningstar

Ratings should not be taken as a recommendation.

Contact

Luxembourg

www.mandg.com/investments/lu

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Past performance is not a guide to future performance.

Single year performance (10 years)

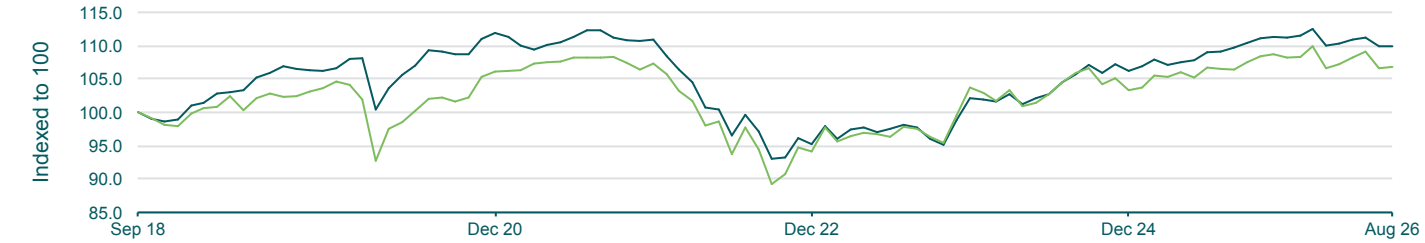
From	YTD to QTR end	01/09/25	01/09/24	01/09/23	01/09/22	01/09/21	01/09/20	01/09/19	01/09/18	01/09/17	01/09/16
To		31/08/26	31/08/25	31/08/24	31/08/23	31/08/22	31/08/21	31/08/20	31/08/19	31/08/18	31/08/17
Euro A Accumulation	0,8%	0,4%	0,4%	8,7%	3,2%	-12,7%	5,9%	-0,2%	2,6%	-0,9%	4,7%
Benchmark	0,0%	0,2%	3,8%	8,2%	0,6%	-13,6%	3,0%	2,1%	-	-	-

Performance over 10 years



Euro A Accumulation (111,1)

Performance vs Benchmark



Euro A Accumulation (106,8)
Benchmark (109,9)

The chart above shows the fund performance vs the benchmark performance from the closest month-end to the introduction of the benchmark.

Benchmark: Until 6 April 2026 the fund benchmark was 1/3 Bloomberg Global Agg Corporate Index EUR Hedged 1/3 Bloomberg Global High Yield Index EUR Hedged 1/3 Bloomberg Global Treasury Index EUR Hedged.
The benchmark is a comparator against which the fund's performance can be measured. The composite index has been chosen as the fund's benchmark as it best reflects the scope of the fund's investment policy. The benchmark is used solely to measure the fund's performance and does not constrain the fund's portfolio construction.
The fund is actively managed. The investment manager has complete freedom in choosing which investments to buy, hold and sell in the fund. The fund's holdings may deviate significantly from the benchmark's constituents.

Fund performance prior to 7 September 2018 is that of the EUR Class A-H Accumulation of the M&G Optimal Income Fund (a UK-authorised OEIC), which merged into this fund on 8 March 2019. Tax rates and charges may differ.
The composite index was introduced as the fund's benchmark on 7 September 2018.

Source: Morningstar, Inc and M&G, as at 31 August 2026. Returns are calculated on a price to price basis with income reinvested. Benchmark returns stated in EUR terms.

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Fund codes and charges

Share class	ISIN	Bloomberg	Currency	Share class launch date	Management fees and other costs	Distribution yield	Minimum initial investment	Minimum top up investment
Euro A Acc	LU1670724373	MGOIEAA LX	EUR	07/09/2018	1,34%	-	€1.000	€75
Euro A Inc	LU1670724456	MGOIEAD LX	EUR	07/09/2018	1,34%	4,99%	€1.000	€75
Euro B Acc	LU1670724530	MGLOEBA LX	EUR	07/09/2018	1,84%	-	€1.000	€75
Euro B Inc	LU1670724613	MGLOEBD LX	EUR	07/09/2018	1,84%	5,00%	€1.000	€75
Euro C Acc	LU1670724704	MGOIECA LX	EUR	07/09/2018	0,84%	-	€500.000	€50.000
Euro C Inc	LU1670724886	MGOIECD LX	EUR	07/09/2018	0,84%	4,99%	€500.000	€50.000
Euro CI Acc	LU1797814339	MOIECIA LX	EUR	07/09/2018	0,80%	-	€500.000	€50.000
Euro CI Inc	LU1797814412	MOIECID LX	EUR	17/12/2018	0,80%	4,99%	€500.000	€50.000

Management fees and other administrative or operating costs figures disclosed above include direct costs to the fund, such as the annual management charge (AMC), administration charge and custodian charge, based on expenses for the period ending 31 March 2026. Any ongoing costs figure with* indicates an estimate. Not all costs are presented. The fund's annual report for each financial year will include details of the exact charges. Please note that not all of the share classes listed above might be available in your country. Please see the 'Important information' at the end of this document, the fund`s Prospectus and the KID for more information on the risks associated with this fund and which share classes are available for which product and which investor type.

Industry breakdown (%)

	Physical	Short (via CDS)	Long (via CDS)	Net
Sovereign	44,8	0,0	0,0	44,8
Banking	18,8	0,0	0,0	18,8
Insurance	4,4	0,0	0,0	4,4
Technology & electronics	3,8	0,0	0,0	3,8
Media	3,7	0,0	0,0	3,7
Retail	3,1	0,0	0,0	3,1
Asset backed	2,2	0,0	0,0	2,2
Foreign Sovereign	1,9	0,0	0,0	1,9
Utility	1,7	0,0	0,0	1,7
Financial services	1,7	0,0	0,0	1,7
Supranational	1,7	0,0	0,0	1,7
Energy	1,0	0,0	0,0	1,0
Telecommunications	0,7	0,0	0,0	0,7
Real Estate	0,7	0,0	0,0	0,7
Consumer goods	0,6	0,0	0,0	0,6
Automotive	0,5	0,0	0,0	0,5
Mortgage backed	0,4	0,0	0,0	0,4
Transportation	0,4	0,0	0,0	0,4
Leisure	0,3	0,0	0,0	0,3
Commercial Mortgage Backed	0,2	0,0	0,0	0,2
Basic industry	0,1	0,0	0,0	0,1
Agency	0,1	0,0	0,0	0,1
Equity	0,1	0,0	0,0	0,1
Services	0,1	0,0	0,0	0,1
Capital goods	0,0	0,0	0,0	0,0
Futures	0,0	0,0	0,0	0,0
Cash	7,1	0,0	0,0	7,1

Asset breakdown (%)

	Physical	Short (via CDS)	Long (via CDS)	Net
Government bonds	**46,7**	**0,0**	**0,0**	**46,7**
Investment grade corporate bonds	**38,8**	**0,0**	**0,0**	**38,8**
Fixed rate	38,8	0,0	0,0	38,8
Floating rate	0,0	0,0	0,0	0,0
Index linked	0,0	0,0	0,0	0,0
Credit Default Swaps & Indices	0,0	0,0	0,0	0,0
High yield corporate bonds	**4,5**	**0,0**	**0,0**	**4,5**
Fixed rate	4,5	0,0	0,0	4,5
Floating rate	0,0	0,0	0,0	0,0
Index linked	0,0	0,0	0,0	0,0
Credit Default Swaps & Indices	0,0	0,0	0,0	0,0
Securitised	**2,9**	**0,0**	**0,0**	**2,9**
Equities	**0,1**	**0,0**	**0,0**	**0,1**
Other	**0,0**	**0,0**	**0,0**	**0,0**
Cash	**7,1**	**0,0**	**0,0**	**7,1**

Geographic breakdown (%)

	Physical	Short (via CDS)	Long (via CDS)	Net
US	45,3	0,0	0,0	45,3
UK	13,9	0,0	0,0	13,9
Germany	6,6	0,0	0,0	6,6
France	5,9	0,0	0,0	5,9
Italy	3,1	0,0	0,0	3,1
Japan	3,1	0,0	0,0	3,1
Spain	2,7	0,0	0,0	2,7
Netherlands	1,7	0,0	0,0	1,7
Other	10,7	0,0	0,0	10,7
Cash	7,1	0,0	0,0	7,1

Credit rating breakdown (%)

	Physical	Short (via CDS)	Long (via CDS)	Net
AAA	8,1	0,0	0,0	8,1
AA	42,3	0,0	0,0	42,3
A	16,3	0,0	0,0	16,3
BBB	20,3	0,0	0,0	20,3
BB	5,2	0,0	0,0	5,2
B	0,3	0,0	0,0	0,3
CCC	0,3	0,0	0,0	0,3
CC	0,0	0,0	0,0	0,0
C	0,0	0,0	0,0	0,0
D	0,0	0,0	0,0	0,0
No rating	0,1	0,0	0,0	0,1
Cash	7,1	0,0	0,0	7,1

A mid-average credit rating for each security, where available from S&P, Fitch, Moody's, is calculated. Where a security has not been rated by S&P, Fitch or Moody's, we may use M&G's internal credit rating. Ratings should not be taken as a recommendation.

Largest issuers (excl. government bonds and CDS indices, %)

	Fund
Amazon	3,0
Alphabet	2,9
European Union	1,7
JP Morgan	1,4
Nvidia Corporation	1,2
Lloyds Banking Group	1,2
Intesa Sanpaolo	1,0
BNP Paribas	1,0
Banco Santander	0,9
Microsoft	0,9

Maturity breakdown (%)

	Physical
0 - 1 years	1,9
1 - 3 years	6,7
3 - 5 years	9,1
5 - 7 years	10,9
7 - 10 years	18,4
10 - 15 years	8,0
15+ years	37,5
Cash	7,1
Other	0,5

Approach to responsible investment

	Yes	No	N/A
ESG integration	✓		
Additional ESG specifications	✓		
Exclusions	✓		
Cluster munitions & anti personnel landmines	✓		
Other exclusions or restrictions	✓		
Voting	✓		
Engagement	✓		

Please see glossary for further explanation of these terms.

SFDR Article Classification: Article 8 fund. The decision to invest in this fund should be based on all objectives and characteristics and not solely its non-financial objectives and characteristics.

ESG Standard Glossary

Additional ESG specifications: In the context of M&G, these are funds that are managed in accordance with specific ESG criteria or, where relevant, with an explicit ESG objective. They will have a number of minimum exclusions in place.
Engagement: Interaction with company management on various financial and non-financial, including ESG, issues. Engagement allows investors to better understand how a company is undertaking its operations and how it is interacting with its stakeholders, as well as advising on and influencing company behaviour and disclosures where appropriate.
ESG integration: Describes the explicit and systematic inclusion of Environmental, Social and Governance factors in investment analysis and investment decisions. It underpins a responsible investment approach, and allows investors to better manage risk and generate sustainable, long-term returns.
Exclusions: The exclusion or restriction of investments based on the sector in which they operate, the products or services they provide or for other specific criteria, i.e. they are deemed to be in breach of the United Nations Global Compact principles on human rights, labour the environment and anti-corruption.
Voting: As the partial owners of a company, shareholders have the right to vote on resolutions put forward at a company's annual general meeting. These resolutions include the re-election of directors, executive remuneration and business strategy, among others, and may include resolutions put forward by shareholders.

Climate Metrics

	Weighted Average Carbon Intensity (tCO_2e /US$m sales)	Coverage by portfolio weight (%)
Euro A Accumulation	27,71	95,88%
Benchmark	210,72	93,67%

Source: We use a variety of data sources to gather and map the carbon emissions of our funds. This allows for data gaps from some data providers on some issuers. We currently use MSCI as our main third-party data provider for carbon intensity data as we consider its coverage to be the broadest of the current providers.

Explanation of our climate metrics

The Weighted Average Carbon Intensity (WACI) is the metric used to report our funds' carbon emissions. It is a measure of how much CO2 is being emitted per US$ million of sales by each company that the fund invests in. This can be used to determine the likely effect a company is having on the environment. It can also help to compare the impact different companies have on the environment, and to compare companies against the broad market or the financial benchmark for the fund. However, this metric does not take into account the difference in carbon characteristics among sectors.
The WACI metric is one of many greenhouse gas emissions data points, each offering a different aspect of analysis on climate impact. M&G have selected this metric as it is applicable to multi-asset, equity and fixed income funds and it is aligned to the recommendations from the Taskforce for Climate Related Financial Disclosures (TCFD). It has also been chosen to align with M&G's groupwide target of transparency when it comes to the disclosure of climate emissions.
For the avoidance of doubt, this fund is not managed to a carbon emission objective and, the benchmark WACI (should funds have a benchmark) has been included for information purposes only.

Exposure to ESG Bonds

	Exposure (%)
Fund	1,9

Explanation of other sustainability indicators

More sustainable, better run and less harmful businesses – MSCI Analysis
The 'MSCI analysis' table shows the weighted average ESG score of the portfolio using MSCI, compared to either the fund's benchmark or to the named index, as indicated in the fund's Prospectus.
The 'Exposure to ESG bonds' table shows the percentage of the portfolio invested in ESG bonds, such as green bonds, social bonds, transition bonds, sustainability bonds or sustainability linked bonds.

More sustainable, better run and less harmful businesses - MSCI Analysis

	Environmental score	Social score	Governance score	Overall score	Overall Rating	MSCI coverage (%)
Fund	3,4	2,2	2,4	7,6	AA	97,8
Benchmark	1,7	1,5	1,6	6,5	A	96,9

Important information

On 8 March 2019 the non-sterling assets of the M&G Optimal Income Fund, a UK-authorised OEIC which launched on 8 December 2006, merged into the M&G (Lux) Optimal Income Fund, a Luxembourg-authorised SICAV, which launched on 5 September 2018. The SICAV is run by the same fund manager, applying the same investment strategy as the OEIC.

For the avoidance of doubt, for fixed income funds, we count different entities belonging to the same company as separate issuers to arrive at the number of issuers in the fund, as shown under the key information section.[1]The fund's average credit rating uses a mid-average rating (S&P, Fitch, Moody's or M&G's internal rating if no rating is available from these ratings agencies) of securities held by the fund. It excludes some derivatives that are used for efficient portfolio management only. Ratings should not be taken as a recommendation.

The M&G (Lux) Optimal Income Fund is a sub-fund of M&G (Lux) Investment Funds 1.

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Before subscribing you should read the Key Information Document and the Prospectus, which includes a description of the investment risks relating to these funds. The information contained herein is not a substitute for independent investment advice.
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Glossary

This glossary provides an explanation of terms used in this factsheet. It may include terms that do not apply to this fund.

Accumulation shares: A type of share where distributions are automatically reinvested and reflected in the value of the shares.
Asset allocation: Allocating a portfolio's assets according to risk tolerance and investment goals.
Asset-backed securities: Bonds (fixed income securities) backed by assets that produce cashflows, such as mortgage loans, credit card receivables and auto loans.
Benchmark (Constraint): The portfolio must replicate the securities contained in the benchmark and their weights. The benchmark can be an index or a sector. Depending on the fund's mandate, the managers can replicate the positions directly or via derivatives, which are instruments whose value is derived from that of an underlying security or pool of securities.
Benchmark (Target): A benchmark, such as an index or sector, which the fund managers aim to match or exceed. The managers have freedom in choosing the securities and strategy by which they do so.
Benchmark: Measure, such as an index or sector, against which a portfolio's performance is judged.
Benchmark (Comparator): The fund managers choose the benchmark, which may be an index or a sector, as a comparator for the fund's performance, but they do not have to replicate its composition. The benchmark is not used for any other purpose, such as, for example, to serve as a reference when setting performance fees.
Bond: A loan in the form of a security, usually issued by a government or company. It normally pays a fixed rate of interest (also known as a coupon) over a given time period, at the end of which the initial amount borrowed is repaid.
Cash equivalents: Deposits or investments with similar characteristics to cash.
Consumer prices index (CPI): An index used to measure inflation, or the rate at which prices for a basket of goods and services bought by households change. The contents of the basket are meant to be representative of products and services consumers typically spend money on, and are updated regularly.
Convertible bonds: Fixed income securities (bonds) that can be exchanged for predetermined amounts of company shares at certain times during their life.
Corporate bonds: Fixed income securities issued by a company. They are also known as bonds and can offer higher interest payments than bonds issued by governments as they are often considered more risky. Also referred to by investors as "credit."
Coupon: The interest paid by the government or company that has raised a loan by selling bonds. It is usually a fixed amount, calculated as a percentage of the total loan and paid out at regular intervals.
Credit default swap (CDS): An insurance-like contract that allows an investor to transfer the default risk of a bond to another investor. The buyer of the CDS pays regular premiums to the seller, who has to reimburse the buyer in the event of the underlying bond defaulting. A CDS is a type of derivative – a financial instrument whose value and price is dependent on the underlying asset.
Credit rating agency: A company that analyses the financial strength of issuers of fixed income securities (bonds) and attaches a rating to their debt. Examples include Standard & Poor's, Moody's and Fitch.
Derivatives: Financial instruments whose value and price depend on one or more underlying assets. Derivatives can be used to gain exposure to, or to help protect against, expected changes in the value of the underlying investments. Derivatives may be traded on a regulated exchange or directly between two parties (over the counter).
Distribution yield: The amount that is expected to be distributed by the fund over the next 12 months expressed as a percentage of the share price as at a certain date. It is based on the expected gross income from the current portfolio calculated in accordance with the fund's distribution polices less the ongoing charges where they are deducted from income.
Dividend yield: Annual income distributed by a company as a percentage of its share price as at a certain date.
Duration: A measure of the sensitivity of a fixed income security (bond) or bond fund to changes in interest rates. The longer a bond or bond fund's duration, the more sensitive it is to interest rate movements.
Emerging economy or market: Country in the process of catching up with developed economies, with rapid growth and increasing industrialisation. Investments in emerging markets are generally considered to be riskier than those in developed markets.
Equities: Shares of ownership in a company. They offer investors participation in the company's potential profits, but also the risk of losing all their investment if the company goes bankrupt.
Ex-dividend, ex-distribution or xd date: The date on which declared distributions officially belong to underlying investors. On the XD date, the stock's price usually falls by the amount of the dividend, reflecting the payout.
Exposure: The proportion of a fund invested in a particular share/fixed income security/index, sector/region, usually expressed as a percentage of the overall fund.
Fixed income security: A loan in the form of a security, usually issued by a government or company, which normally pays a fixed rate of interest over a given time period, at the end of which the initial amount borrowed is repaid. Also referred to as a bond.
Floating rate notes (FRNs): Securities whose interest (income) payments are periodically adjusted depending on the change in a reference interest rate.
Gilts: Fixed income securities issued by the UK government. They are called gilts because they used to be issued on gilt-edged paper.
Government bonds: Loans issued in the form of fixed income securities by governments. They normally pay a fixed rate of interest over a given time period, at the end of which the initial investment is repaid.
Hard currency (bonds): Fixed income securities (bonds) denominated in a highly traded, relatively stable international currency, rather than in the bond issuer's local currency. Bonds issued in a more stable hard currency, such as the US dollar, can be more attractive to investors where there are concerns that the local currency could lose value over time, eroding the value of bonds and their income.
Hedging: A method of reducing unnecessary or unintended risk.
High yield bonds: Loans taken out in the form of fixed income securities issued by companies with a low credit rating from a recognised credit rating agency. They are considered to be at higher risk of default than better-quality, higher-rated fixed income securities, but they have the potential for higher rewards. Default means that a bond issuer is unable to meet interest payments or repay the initial amount borrowed at the end of a security's life.
Historic yield: The historic yield reflects distributions declared over the past 12 months as a percentage of the share price as at the date shown.
Income shares: A type of share where distributions (also called dividends) are paid out as cash on the payment date.
Index-linked bonds: Fixed income securities where both the value of the loan and the interest payments are adjusted in line with inflation over the life of the security. Also referred to as inflation-linked bonds.
Investment association (IA): The UK trade body that represents fund managers. It works with investment managers, liaising with government on matters of taxation and regulation, and also aims to help investors understand the industry and the investment options available to them.
Investment grade bonds: Fixed income securities issued by a government or company with a medium or high credit rating from a recognised credit rating agency. They are considered to be at lower risk of default than those issued by issuers with lower credit ratings. Default means that a borrower is unable to meet interest payments or repay the initial investment amount at the end of a security's life.
Leverage: When referring to a company, leverage is the level of a company's debt in relation to its assets. A company with significantly more debt than capital is considered to be leveraged. It can also refer to a fund that borrows money or uses derivatives to magnify an investment position.
Local currency bonds: Bonds denominated in the currency of the issuer's country, rather than in a highly traded international 'hard' currency, such as the US dollar. The value of local currency bonds tends to fluctuate more than that of bonds issued in a hard currency, as these currencies tend to be less stable.
Long position (exposure): Holding a security in the expectation that its value will rise.
Maturity: The length of time until the initial amount invested in a fixed income security is due to be repaid to the holder of the security.
Modified duration: A measure of the sensitivity of a bond, or bond fund, to changes in interest rates, expressed in years. The longer a bond or bond fund's duration, the more sensitive it is to interest rate movements.
Near cash: Deposits or investments with similar characteristics to cash.
Net asset value (NAV): The current value of the fund's assets minus its liabilities.
Ongoing charge figure: The ongoing charge figure represents the operating costs investors can reasonably expect to pay under normal circumstances.
Open-ended investment company (OEIC): A type of managed fund whose value is directly linked to the value of the fund's underlying investments. The fund creates or cancels shares depending on whether investors want to redeem or purchase them.
Options: Financial contracts that offer the right, but not the obligation, to buy or sell an asset at a given price on or before a given date in the future.
Payment date: The date on which distributions will be paid by the fund to investors, usually the last business day of the month.
Physical assets: An item of value that has tangible existence; for example cash, equipment, inventory or real estate. Physical assets can also refer to securities, such as company shares or fixed income securities.
Property expense ratio: Property expenses are the operating expenses that relate to the management of the property assets in the portfolio. These include: insurance and rates, rent review and lease renewal costs and maintenance and repairs, but not improvements. They depend on the level of activity taking place within the fund. The Property Expense Ratio is the ratio of property expenses to the fund's net asset value.
Retail prices index (RPI): A UK inflation index that measures the rate of change of prices for a basket of goods and services in the UK, including mortgage payments and council tax.
Share class hedging: Activities undertaken in respect of hedged shares to mitigate the impact on performance of exchange rate movements between the fund's currency exposure and the investor's chosen currency.
Share class: Type of fund shares held by investors in a fund (share classes differ by levels of charge and/or by other features such as hedging against currency risk). Each M&G fund has different share classes, such as A, R and I. Each has a different level of charges and minimum investment. Details on charges and minimum investments can be found in the fund's Prospectus.
Share: An ownership stake in a company, usually in the form of a security. Also called equity. Shares offer investors participation in the company's potential profits, but also the risk of losing all their investment if the company goes bankrupt.
Short position (exposure): A way for an investor to express their view that the market might fall in value.
SICAV: In French, it stands for société d'investissement à capital variable. It is the western European version of an open-ended collective investment fund, much like an OEIC. Common in Luxembourg, Switzerland, Italy and France, and regulated by regulators in the European Union.
Swap: A swap is a derivative contract where two parties agree to exchange separate streams of cashflows. A common type of swap is an interest rate swap, where one party swaps cashflows based on variable interest rates for those based on a fixed interest rate, to hedge against interest rate risk.
UCITS: Stands for Undertakings for Collective Investments in Transferable Securities. This is the European regulatory framework for an investment vehicle that can be marketed across the European Union and is designed to enhance the single market in financial assets while maintaining high levels of investor protection.
Underlying yield: The amount that is expected to be earned by the fund over the next 12 months expressed as a percentage of the share price as at a certain date. It is based on the expected gross income from the current portfolio calculated in accordance with the fund's accounting policies less all ongoing charges.
Unit trust: A type of managed fund whose value is directly linked to the value of the fund's underlying investments and which is structured as a trust, rather than as a company.
United Nations Global Compact: A United Nations initiative to encourage businesses worldwide to adopt sustainable and socially responsible policies and to report on their implementation.
Valuation: The worth of an asset or company, based on the present value of the cashflows it will generate.
Yield: This refers to either the interest received from a fixed income security or to the dividends received from a share. It is usually expressed as a percentage based on the investment's costs, its current market value or its face value. Dividends represent a share in the profits of a company and are paid out to the company's shareholders at set times of the year.

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